



Qualification Programme Examination Panelist's Report

Module 7 – Financial Management (June 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Multiple Choice Questions

General Comments

This is the second cohort of the new QP Module 7 Examination. There were ten multiple choice questions to test basic knowledge of both financial management and managerial accounting fields.

In general, candidates performed better in Section A as compared with the case questions in Section B.

Specific Comments

Less than half of the candidates were able to master the key concept of application of incremental cash flows in capital budgeting appraisal analysis. Many candidates were unable to correctly answer the question related to the prerequisite for effective implementation of just-in-time production under the strategic management accounting framework.

(II) Section B – Written Questions

General Comments

There were four case questions in Section B incorporating fundamental knowledge in the finance area and the managerial accounting field.

In general, candidates' performance was less satisfactory than that of the previous cohort. Many candidates did not perform well in the areas of sources of finance and capital structure.

Candidate performance was weakest on Question 1, which required candidates to apply basic bond price equations of semi-annual coupon bonds and zero coupon bonds for corporate fund raising. None of the candidates were able to explain the use of basic derivatives to hedge exchange rate risk and interest rate risk as required in Question 2.



Specific Comments

Question 1(a) (i) & (ii) – 6 Marks

This question required candidates to calculate the bond prices and the number of bonds of the coupon bonds and zero coupon bonds issued for fund raising.

Unfortunately, most candidates failed to apply the most basic bond price equations correctly for both semi-annual coupon bonds and zero coupon bonds. Some candidates were completely unable to identify the impact of the semi-annual coupon payment on the bond price equation and adopted incorrect inputs into the formula.

Question 1(b) (i) & (ii) – 4 Marks

This question required candidates to calculate the amount of repayment upon maturity of the coupon bonds and zero coupon bonds.

Similar to part (a), most candidates failed to produce the correct amounts as requested.

Question 1(c) – 6 Marks

This question required candidates to state the name of the bond without coupon payment and explain the reason for the different repayment amounts from issuing the two different types of bonds, as well as the advantages for issuing zero coupon bonds from both the issuer's and bondholder's perspectives.

Most candidates managed to correctly name the zero coupon bond, but very few could precisely explain the rationale of the different repayment amounts. Almost no candidates were able to recognise the advantages of issuing zero coupon bonds from the bondholder's perspective.

Question 1(d) – 4 Marks

This question required candidates to explain why most companies prefer to use debt financing instead of equity financing.

Many candidates were able to point out the dilution effect of equity financing, though a very limited number of candidates properly explained the tax advantages of debt financing.

Question 2(a) – 5 Marks

This question required candidates to define and explain the purpose of the key risk indicator ("KRI") and to describe the process in developing a KRI program for risk management.

Very few candidates were able to explain the purpose of the KRI and none provided a detailed description of the process of developing a KRI program for risk management.



Question 2(b) – 4 Marks

This question required candidates to identify major financial risks faced by the company. More than half of the candidates managed to get marks on exchange rate risk and threat arising from changes in the regulatory requirements. Some of the higher performing candidates were also able to point out the interest rate risk as well.

Question 2(c) – 3 Marks

This question required candidates to explain how to mitigate risk arising from a foreign sales receipt. A significant number of candidates poorly attempted this part without noting the use of basic derivatives. These candidates discussed several methods that are not practical in daily real-world situations.

Question 2(d) – 4 Marks

This question required candidates to explain how to mitigate risk arising from an outstanding loan in the local currency. None of the candidates were able to explain the use of interest rate swap.

Question 2(e) – 4 Marks

This question required candidates to list the four basic financial risk management approaches. Half of the candidates failed to obtain any marks for this question.

Question 3(a) – 6 Marks

This question required candidates to define and describe key features of key performance indicators (“KPIs”) for the performance evaluation. Candidates were unable to master the clear concept of KPIs and mixed up concepts of assessments on products, profitability, and even peer comparisons.

Question 3(b) – 6 Marks

This question required candidates to calculate the return on investment (“ROI”) and residual income (“RI”) for each division in the case. While most candidates performed well here, some were unable to work out the RI correctly.

Question 3(c) – 5 Marks

This question required candidates to analyse the performance of each division based on the answers calculated in part (b) and to explain which of the performance measures (i.e. ROI or RI) is more consistent with the corporate goal.

Performance was satisfactory for most candidates; however, some candidates utilised the concept of project evaluation and incorrectly applied it to this case study.



Question 3(d) – 3 Marks

This question required candidates to list three non-financial measures for performance evaluation. Most candidates illustrated a poor understanding of this concept and provided many financial measures or, even worse, mixed it up with risk exposure.

Question 4(a) – 4 Marks

This question required candidates to compute the expected returns for each individual stock and for the portfolio. Most candidates performed well here and received full marks.

Question 4(b) – 4 Marks

This question required candidates to calculate the standard deviations for each individual stock and for the portfolio. Around one-third of the candidates received full marks here, while another two-thirds failed to apply the correct formula, resulting in no marks.

Question 4(c) – 8 Marks

This question tested candidates' knowledge of risk reduction due to diversification by making use of a portfolio investment.

Performance here was abysmal, with zero marks being awarded to three-quarters of the candidates. Only very few candidates managed to calculate the correct answer as required by the question, and no candidate was able to explain the rationale of the risk reduction to get full marks for this question.

Question 4(d) – 4 Marks

This question required candidates to identify and explain which stock has the highest total risk and which stock should be rewarded with the highest expected return.

More than half of the candidates correctly identified Stock B as being subject to the highest total risk, but only less than one-third of the candidates were able to identify Stock C as having the highest expected return according to the systematic risk principle.



(III) Conclusion and Recommendation

Candidates are advised to prepare well and understand how to apply basic finance equations and concepts to real-world cases for financial decision making. Candidates are expected to master most concepts of sources of finance and capital structure. They should also familiarise themselves with bond and stock valuation models, which are essential foundational knowledge for more advanced finance topics, such as the cost of capital and the capital asset pricing model.

Candidates are reminded not to overlook the use of financial products, including derivatives, in relation to corporate financing and risk management for preparation for this module.